

FIRSTBANK DIGITAL FACTORY

Data-Driven Decision & Experiment Design

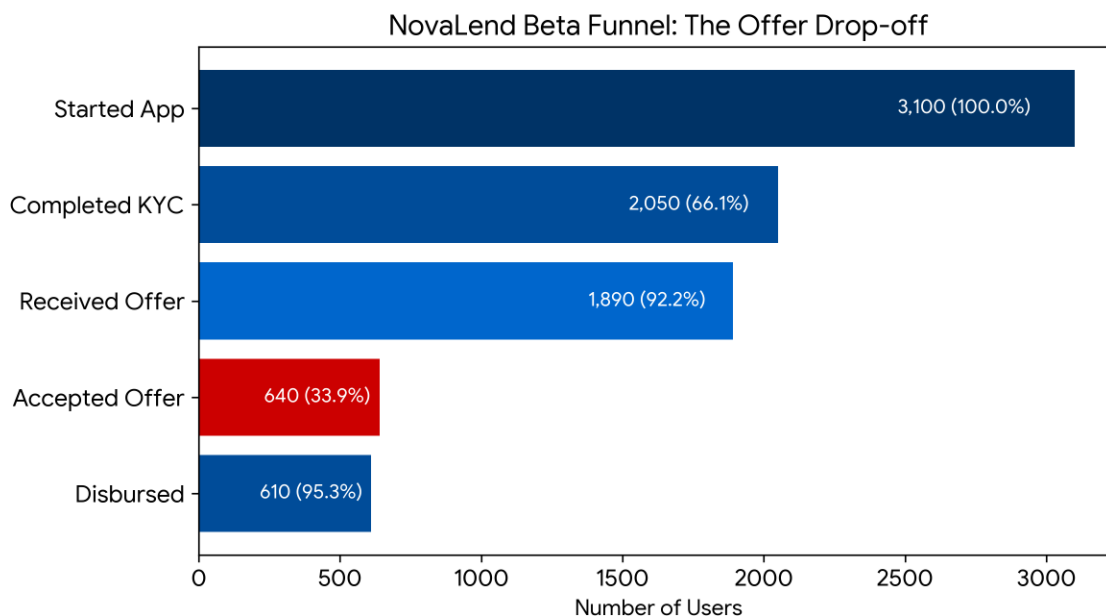
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1. Executive Summary

The NovaLend 30-day beta has revealed a dual crisis at the bottom of the funnel: an unsustainable 14% default rate and a massive 66.1% abandonment rate at the offer stage. Our core hypothesis is that this is an underwriting and offer-structuring crisis that triggers severe adverse selection. To solve this, we must decouple conversion fixes from risk controls, targeting the exact bottlenecks causing the abandonment while implementing strict backend cutoffs to protect portfolio health.

2. Funnel Diagnostics & The 66.1% Bottleneck

Deconstructing the funnel reveals that the onboarding phase is not the primary point of failure. The failure occurs entirely at the offer acceptance phase.



- Top/Mid Funnel (Onboarding): 12,400 invited -> 3,100 started -> 2,050 completed KYC (66.1% conversion). This indicates standard identity verification friction, not an emergency.
- Mid/Bottom Funnel (Underwriting): Of 2,050 KYC completions, 1,890 received an offer (92.2% approval rate). This is highly permissive and dangerous.

- Bottom Funnel (The True Bottleneck): Of 1,890 offers, only 640 were accepted (33.9% conversion). A 66.1% drop-off post-KYC proves the product itself is repelling users.

3. Identifying the Core Bottlenecks

Based on the data, the 66.1% abandonment is driven by three specific structural bottlenecks in the current offer design:

1. Rigid, Flat Loan Amounts: Users are given a flat offer. If a user needs 20k but is offered 50k, they walk away to avoid over-borrowing.
2. Inflexible Repayment Tenors: Forcing all users into a single time frame (e.g., 30 days) misaligns with individual cash flow and payday cycles.
3. Non-Risk-Adjusted Pricing: Flat pricing means low-risk users are overcharged to subsidize high-risk users, causing the best borrowers to abandon the flow entirely.

4. Conversion vs. Risk

- To Fix the 66.1% Drop-Off (Conversion Strategy): We deploy Bounded Flexibility (Dynamic Amount Sliders and Tenor Toggles) tied to Post-Verification Risk-Tiered Pricing. Users customize their loans within pre-approved risk bands so they never feel trapped, directly solving the three bottlenecks identified above.
- To Fix the 14% Default Rate (Risk Strategy): We implement a Strict Risk-Tier Cutoff on the backend, instantly declining the bottom quartile of credit scores to guarantee portfolio safety without adding UI friction for good users.

5. Lightweight Experiment Design (Painted Door Test)

To validate demand for flexible loan sizes before committing heavy engineering resources to a real-time pricing engine, we will run a 5-day 'Painted Door' test.

- The Experiment: On the current offer screen, add a secondary button: 'Request a different amount/tenor'.
- The Experience: Tapping it triggers a modal: 'We are currently testing flexible loan terms in your region. Join the waitlist for early access.' We log the analytics event.
- Success Metric: If >20% of viewers tap the button, we have definitive proof that resolving the 'flat offer' bottleneck is the key to unlocking conversion.